

certain. Since survival probabilities decline with age, it is rational (on Planet Vulcan) to spend more earlier on while you are more likely to be alive, and to spend less later on when the probability of still being alive is lower. You should intentionally plan to decrease spending as you age to account for the lower probability of living to each subsequent age. Otherwise, retirees sacrifice too much by cutting spending in early retirement to allow for the same spending much later on when the odds of still being alive are low. With lower future spending, the initial withdrawal rate can be increased. This idea will resonate with some readers, and it will sound like a terrible idea to other readers. Simply, a greater desire to reject this notion implies that someone has greater longevity risk aversion. Even if the probability is low, this person does not want to be in a position to make significant spending cuts or to become a burden to his or her children at an advanced age.

As well, most retirees will have income streams available from outside their financial portfolios (“exogenous pension income”), such as Social Security and other defined-benefit pensions or annuities. These income streams reduce the lifestyle impact of depleting the investment portfolio, which could make a retiree more comfortable with the idea of spending more aggressively than a “safe” spending rate analysis would suggest. Finally, both of these factors will be tempered somewhat to the extent that a retiree is particularly fearful of outliving his or her financial portfolio. Greater longevity risk aversion requires spending less in order to maintain the portfolio over a longer time horizon.

Understanding Longevity Risk Aversion

Moshe Milevsky coined the term *longevity risk aversion* to describe the emotions related to how one feels about the possibility of outliving one’s investment portfolio in late retirement.

To understand longevity risk aversion, consider which of these statements resonates more with you:

(1) To get the most enjoyment out of retirement, it is optimal to frontload spending and to enjoy a higher standard of living while one is still able to